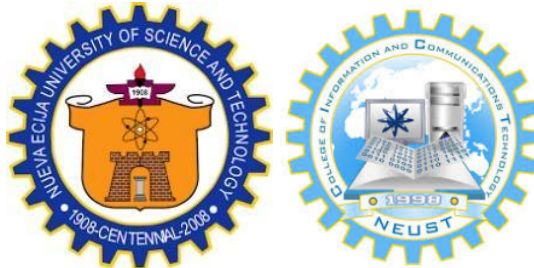




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CASE STUDY: Case Study: "The Smart Hire Dilemma - When Algorithms Decide Who Gets the Job"



Course: Ethics in Information Technology

**Institution: NEUST - College of Information and Communications
Technology**

Level: 4th Year BSIT (4A) Talavera

In Partial Fulfillment of the Requirements for the Course:

IT-SP01 - Social and Professional Issues

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Expected Learning Outcomes

After completing this case study, students should be able to:

Evaluate ethical dilemmas in IT through different ethical theories and reasoning.

Understand the moral and professional responsibilities of IT practitioners.

Recognize the implications of biased AI systems in society.

Apply professional codes of conduct from ACM, IEEE, and DICT in real-world contexts.

Background of the Case

SmartHire, a rapidly growing HR technology company based in the Philippines, introduced an **AI-powered recruitment system** designed to automate hiring decisions for client



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organizations. The system collects applicant data—including résumés, professional history, and even social media activities—to compute an **"employability index"**.

SmartHire's clients initially praised the system for its **speed, efficiency, and cost-effectiveness**. Thousands of applications could now be processed in minutes, and human bias in hiring seemed greatly reduced. However, an IT student intern assigned to the company later uncovered irregularities within the AI's data and ranking patterns.

The Ethical Dilemma

Upon examining the algorithm's training data, the intern discovered that:

Female applicants for technical positions were consistently given **lower employability scores**.



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Candidates from **non-elite or provincial universities** ranked lower despite equivalent qualifications.

The system accessed **social media content—including private messages—without consent.**

When the intern raised these findings, the project manager dismissed the concerns, saying:

“We’re simply meeting client expectations. The system works fast and our clients are happy.”

The intern now faces a moral conflict—whether to remain silent and protect their internship, or to take ethical action against a system that may be violating privacy and fairness.

Key Issues Identified

1. Data Privacy



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Question: Is it ethical to collect and use personal data without user consent?

Answer: No. Gathering personal and social media data without informed consent breaches the right to privacy and violates data protection laws like the **Data Privacy Act of 2012 (RA 10173)**.

Why (from the case): SmartHire's system collected applicants' online behaviors and private communications without notifying them.

Suggestion: Implement strict **informed consent protocols**, disclose the scope of data collection, and ensure compliance with local privacy laws.

2. Algorithm Bias

Question: Should SmartHire continue deploying a biased system?



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Answer: No. An algorithm that favors certain demographics or schools discriminates against equally qualified applicants.

Why (from the case): The system's training data reflected gender and academic biases, producing skewed results.

Suggestion: Redesign the algorithm with **diverse and representative datasets** and perform regular **bias audits**. Decisions should be based on verified skills and experience—not gender or school background.

3. Corporate Pressure

Question: Should the intern follow the company's orders or uphold ethical standards?

Answer: Ethical standards should take precedence. Short-term business gains cannot justify practices that harm applicants or violate professional codes of conduct.



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Why (from the case): The manager prioritized client satisfaction over ethical correctness, disregarding issues of bias and privacy.

Practical Action: The intern should **document findings, report the issues** to higher management, and suggest **temporary suspension** of the system until issues are addressed.

4. Professional Responsibility

Question: What ethical obligations does an IT professional have in such a scenario?

Answer: IT professionals must ensure **fairness, transparency, and privacy**, and must report systems that cause harm.



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Why (from the case): The intern's discovery shows potential harm to many applicants. Silence would indirectly support unethical practices.

Suggestion: Follow ethical escalation channels—report the issue to supervisors or data protection officers and suggest immediate remedial measures.

Questions for Analysis

A. Ethical Reasoning

1. Utilitarianism

Decision: Suspend the AI system temporarily and correct its biases before redeployment.

Why: This decision results in the **greatest good for the greatest number**—protecting thousands of applicants from discrimination, ensuring long-term trust among clients, and maintaining the company's ethical reputation.



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2. Deontology

Core Duties:

Respect for autonomy: Obtain informed consent before processing data.

Non-maleficence: Avoid actions that could harm applicants.

Fairness: Reject biased models and ensure equal opportunity for all.

Accountability: Take responsibility for the system's social impact.

The intern must uphold these duties even when pressured by management, since moral actions must follow ethical rules—not just outcomes.



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3. *Virtue Ethics*

The intern should act with **courage, honesty, and integrity**.

A virtuous IT professional is one who stands up for fairness and truth, even in difficult situations. Raising valid concerns about unethical practices reflects professional maturity and moral strength.

4. *Ethics of Care*

This theory emphasizes empathy and relationships. The intern should consider the real-world consequences on individuals—qualified applicants losing opportunities due to bias, or their privacy being violated. Ethical care involves **listening, understanding vulnerabilities, and ensuring fair treatment** throughout the process.



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Questions for Analysis

A. Ethical Reasoning

1. Using Utilitarianism, what decision would bring the greatest good for the greatest number?

Decision:

Temporarily suspend the AI hiring platform and conduct a full ethical and technical audit before using it again. The company should rebuild the algorithm with fair and transparent data, ensuring that all applicants are treated equally regardless of gender or educational background.

Why:

This approach benefits the largest number of people—job

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seekers, companies, and society as a whole. Fair recruitment processes increase trust in the system, protect individuals from discrimination, and maintain SmartHire's credibility. Although it may delay short-term profits, the long-term benefits of fairness, transparency, and social trust far outweigh temporary inconvenience.

2. According to Deontology, what duties or rules should the intern follow?

The intern should follow these fundamental moral duties:

Duty to Respect Privacy: Never approve or participate in a system that collects personal or private data without the applicant's knowledge and consent.

Duty of Fairness: Ensure all candidates have an equal opportunity to be evaluated fairly and without bias.



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Duty of Honesty: Report issues truthfully and avoid concealing known flaws for the sake of company image or convenience.

Duty to Prevent Harm: Take responsible action to stop or report unethical practices that could negatively impact others.

Duty to Follow Ethical Protocols: Use proper reporting channels, such as supervisors, compliance officers, or data protection authorities, rather than acting secretly or staying silent.

By following these duties, the intern respects both moral and professional obligations, showing loyalty to ethical principles over blind obedience.



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3. From a Virtue Ethics perspective, what kind of person should the intern strive to be in this situation?

The intern should strive to be a **person of integrity and moral courage**—someone who values honesty, fairness, and responsibility over personal gain.

They should:

Show **courage** by raising ethical issues even when it may cause tension or risk.

Be **honest and transparent** when explaining the system's flaws.

Practice **fairness** by defending those unfairly disadvantaged by the algorithm.

Remain **humble and respectful**, working toward constructive solutions instead of confrontation.



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By doing so, the intern not only protects others from harm but also builds a reputation as a trustworthy and ethical IT professional.

4. How does the Ethics of Care guide action when the issue affects real people, not just data?

The **Ethics of Care** focuses on empathy, compassion, and responsibility for those affected.

In this case, the intern should remember that behind every dataset are **real people**—job seekers whose lives and opportunities are shaped by these decisions. The intern should therefore:



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Advocate for fair treatment and the right to appeal
for rejected applicants.

Encourage communication with applicants to explain AI
decisions clearly.

Work with management and teammates with empathy, not
hostility, to fix the problem collaboratively.

Ensure that the technology remains **human-centered**, not
just efficiency-driven.

By applying care ethics, the intern ensures that the human
side of technology is not forgotten.

B. Decision-Making Challenge

What should the intern do next?

a. Report the issue to higher management?



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- b. Modify the code quietly?
- c. Stay silent to protect their internship?
- d. Inform authorities or clients?

Recommended Path: Option A: Report to higher management through proper channels.

Ethical Reasoning:

Utilitarianism: Reporting the issue prevents harm to many applicants, leading to fairer outcomes and preserving the company's reputation.

Deontology: It fulfills duties of truth, fairness, and respect for consent and privacy.

Virtue Ethics: Demonstrates honesty, courage, and integrity.

Ethics of Care: Protects the welfare and dignity of real people impacted by biased hiring.



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Concrete Actions:

Collect concrete evidence of bias and unethical data collection.

Prepare a professional report summarizing findings, proof, and recommendations.

Submit the report to the project manager or data protection officer with a formal request to suspend the system until fixes are applied.

Keep written documentation of all communications and responses.

Possible Real-World Outcomes:



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Short Term: Temporary disruption in project progress;
tension between team members.

Medium Term: Internal investigation, data protection
review, and algorithm correction.

Long Term: Improved ethical standards, public trust,
and a positive reputation for SmartHire as a
responsible tech company.

Risk & Mitigation:

If management ignores the concern, the intern should
escalate to a data privacy officer or external authority
while maintaining professionalism and confidentiality.

C. Reflection

***1. How would you balance career advancement with ethical
integrity as an IT professional?***



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To balance career growth with ethical integrity, I would:

Uphold ethical values even when pressured to do otherwise.

Report issues constructively, not confrontationally, showing professionalism.

Seek advice from mentors or senior professionals when faced with ethical uncertainty.

Remember that a good reputation and integrity are long-term assets that outweigh any short-term advantage gained through silence or compromise.

An ethical professional may face challenges early, but integrity ensures sustained success and credibility in the IT field.

2. What policies or systems could SmartHire create to ensure ethical AI development in the future?



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SmartHire should establish strong **AI Ethics and Governance Frameworks**, such as:

Transparency Policy: Publicly disclose how applicant data is processed and how scores are calculated.

Fairness Audit: Regularly test algorithms for gender, racial, and educational bias using independent reviewers.

Informed Consent Mechanism: Require applicants to explicitly agree before data collection.

Human Oversight: Incorporate human judgment in final decisions, especially for borderline or rejected applicants.

Diversity in Training Data: Include balanced samples from multiple genders, regions, and institutions.



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Ethics Committee: Create a team of data scientists, HR professionals, and ethicists to review AI models.

Continuous Monitoring: Detect model drift or unintended discrimination over time and respond promptly.

Applicant Appeal Process: Allow individuals to request explanation and review if they feel unfairly treated.

By embedding ethics into every stage of system design, SmartHire can promote **trustworthy AI** that benefits both organizations and society.